2.4

Motivating Employees

Cambridge IGCSE Business

- Why People Work
- Benefits of Motivation
- Maslow's Hierarchy
- Taylor's Theory
- Herzberg's Theory
- Financial & Non-Financial

Motivating Employees

A motivated workforce is more productive, takes less time off and is less likely to leave. Understanding what motivates people is one of the most important skills in management.

- Explain why a motivated workforce benefits the business
- Understand Maslow, Taylor and Herzberg's theories
- Compare financial and non-financial motivation methods
- Recommend and justify a suitable method of motivation

Motivation — Why It Matters

Benefits of motivated workforce · Theories · Why people work

Motivation – Why People Work & The Business Benefits

Motivation is the desire to do something. In business, motivated workers work harder, produce better quality and are less likely to leave — all of which benefit the employer.

Why people work — it's not just about money:

- 💰 Earn money to meet basic needs (food, housing, bills)
- 👥 Social contact — meet people, make friends, belong
- 🏆 Achievement and challenge — proud of what they do
- 🎓 Learn and develop skills — progression opportunities
- 🌟 Status and identity — a job gives purpose and respect
- 💙 Job satisfaction — genuinely enjoy the work itself

Consequences of a poorly motivated workforce:

- ❌ High absenteeism — staff call in sick more often
- ❌ High labour turnover — staff leave for other jobs
- ❌ Poor quality output — workers don't care about their work
- ❌ Lower productivity — output per worker falls → higher costs

Benefits of a Well-Motivated Workforce

Higher Labour Productivity
More output per worker per hour → lower average costs

Lower Absenteeism
Workers who enjoy work are less likely to call in sick

Lower Labour Turnover
Staff stay longer → lower recruitment and training costs

Accept Change
Motivated staff more willing to adopt new methods and tech

Better Quality
Engaged workers take pride in their work → fewer defects

A motivated workforce is a competitive advantage — it costs less to retain staff than to replace them

💡 Exam tip: Labour turnover = (workers leaving ÷ average number employed) × 100. High turnover = expensive — recruitment, induction and lost productivity costs add up.

Maslow's Hierarchy of Needs

Maslow argued that humans are motivated by a hierarchy of five needs. Lower-level needs must be met before higher ones can motivate a person.

How businesses apply Maslow:

Physiological	Pay adequate salary to cover living costs
Safety	Provide job security, safe conditions, pension
Social	Team-building, social events, open-plan offices
Esteem	Promotions, praise, employee of the month
Self-Actualisation	Challenging projects, autonomy, creativity

Limitations of Maslow's theory:

- Not all people follow the same order — some prioritise self-actualisation over safety
- Hard to measure what level a worker is at — managers must guess
- Ignores individual differences — people are motivated by different things

Taylor – Scientific Management

Frederick Taylor (1856–1915) argued that workers are motivated mainly by money. His scientific management approach broke work into small tasks and paid workers per unit produced.

⚙ TAYLOR — Scientific Management

"Find the one best way · Pay by results · Workers are economic machines"

Specialised, repetitive tasks · each worker does ONE thing, repeatedly

Money is the PRIMARY motivator
Pay workers more = they work harder. Simple transactional relationship.

Time and Motion Studies
Observe workers, time every action, find the single most efficient method.

Task Specialisation
Break complex jobs into small, simple, repetitive tasks. One person, one task.

Piece-Rate Pay
Pay workers per unit produced — not per hour. Links reward directly to output.

Strict Division of Labour
Managers plan and think. Workers do and execute. No overlap of roles.

⚠ Criticism: Ignores social and psychological needs — treats workers as machines, not people

Real-world examples:

- 🏭 Amazon warehouses — workers tracked per pick per minute
- 🚗 Henry Ford — one worker, one bolt, on the assembly line
- 📦 Deliveroo — pay per delivery, not per hour worked

Limitations of Taylor's theory:

- ❌ Ignores social and psychological needs
- ❌ Workers are not just 'economic machines'
- ❌ Repetitive tasks → boredom and demotivation
- ❌ Herzberg later proved pay alone is NOT enough

How Taylor compares with Maslow and Herzberg:

Taylor	Motivated by MONEY only. Pay per unit = more effort. Very simple transactional view.
Maslow	Money satisfies only the LOWEST need (physiological). Higher needs require more than pay.
Herzberg	Pay is just a HYGIENE FACTOR — it prevents unhappiness but does NOT create motivation.

💡 Exam tip: Taylor = money motivates. Use for: factory, piece-rate, productivity tasks. Criticise by linking to Maslow (higher needs) and Herzberg (pay is only a hygiene factor).

Herzberg – Two-Factor Theory

Frederick Herzberg argued that the factors causing job satisfaction are completely different from those causing dissatisfaction. Pay alone cannot motivate — it only prevents unhappiness.

HERZBERG — Two-Factor Theory

"Hygiene factors prevent unhappiness · Motivators create genuine satisfaction"

DISSATISFIED	SATISFIED

HYGIENE FACTORS

If absent → DISSATISFIED · If present → only NEUTRAL (not motivated)

These factors do NOT create motivation on their own. They only prevent unhappiness. Improving them moves workers from dissatisfied to neutral — nothing more.

Pay & Salary:	Adequate wage removes unhappiness — but does not motiva
Working Conditions:	Safe, comfortable environment is expected — not a motivator
Company Policy:	Fair, clear rules and procedures — poor policy causes resentr
Job Security:	Stable employment reduces anxiety — but security alone wor
Relationships:	Good relationships with managers/colleagues — poor ones de

MOTIVATORS

If present → GENUINELY MOTIVATED · Create real job satisfaction

These factors create true motivation. Improving them moves workers from neutral to genuinely satisfied and engaged — the only way to motivate according to Herzberg.

Achievement:	Completing challenging, meaningful work creates pride and drive
Recognition:	Being praised publicly for good work — powerful and low-cost
Responsibility:	Ownership over important decisions builds commitment
Career Progression:	Opportunities to advance — gives workers a reason to perfo
The Work Itself:	Interesting, varied, stimulating tasks are intrinsically rewarding

Exam tip: PAY = hygiene factor (only prevents dissatisfaction). ACHIEVEMENT, RECOGNITION, RESPONSIBILITY = motivators (creategenuine motivation). This distinction earns high marks.

Herzberg – Two-Factor Theory

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Taylor vs Herzberg — Key Contrast

⚙ Taylor		✓ Herzberg
• Workers are motivated MAINLY by money	VS	• Pay alone CANNOT motivate — it only prevents unhappiness
• Pay more → they work harder. Simple.		• True motivation comes from the WORK ITSELF
• Piece-rate pay is the optimal incentive		• Hygiene factors → only prevent dissatisfaction
• Treats workers as 'economic machines'		• Motivators → create genuine satisfaction
• Focuses on EFFICIENCY and OUTPUT		• Focuses on JOB ENRICHMENT and MEANING
• Best for: unskilled, repetitive factory work		• Best for: skilled, professional, creative workers

KEY EXAM POINT: Both theories are about motivation — but they reach OPPOSITE conclusions about the role of pay

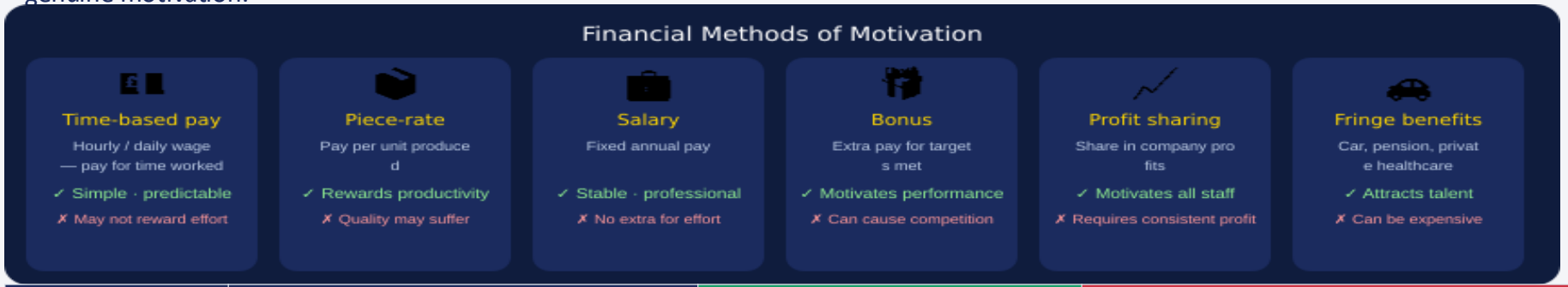
Exam tip: PAY = hygiene factor (only prevents dissatisfaction). ACHIEVEMENT, RECOGNITION, RESPONSIBILITY = motivators (creategenuine motivation). This distinction earns high marks.

Methods of Motivation

Financial · Non-financial · Choose the right one

Financial Methods of Motivation

Financial methods use money to motivate. They are effective for some workers but Herzberg warns that pay alone does not create genuine motivation.



Method	How it works	Best for	Risk
Time-based wage	Fixed rate per hour — pay for time worked	Workers with variable hours	No incentive to work faster
Piece-rate	Pay per unit produced	Factory, manufacturing, sales	Quality may fall — rush to produce more
Salary	Fixed annual pay paid monthly	Professional/managerial roles	No extra reward for extra effort
Bonus	Extra one-off payment for hitting targets	Sales teams, managers	Creates unhealthy competition
Profit sharing	Workers receive share of company profits	All staff — builds ownership	Profits not guaranteed each year
Commission	% of sales revenue earned	Sales staff	Income very unstable, stressful

Exam tip: Always match the financial method to the job type. Piece-rate → factory workers. Commission → salespeople. Salary → managers. Never say 'pay them more' without specifying the method.

Non-Financial Methods of Motivation

Non-financial methods motivate through job satisfaction, personal development and recognition rather than direct payment. These often align with Herzberg's motivators.

Training

Develop skills and qualifications. Workers feel valued — links to Maslow's esteem and self-actualisation levels.

Job Rotation

Regularly move workers between different tasks or departments. Reduces boredom and develops broader skills.

Praise & Recognition

Verbal praise, employee of the month, public recognition. Low cost — links directly to Herzberg's recognition motivator.

Autonomy

Give workers control over HOW they do their job. Especially effective for skilled professionals (laissez-faire link).

Exam tip: Recommend non-financial motivation when: the worker already earns a good salary, OR the business has limited budget, OR the job is already well-paid but workers still seem disengaged.

Motivation – How to Recommend and Justify in the Exam

The exam will describe a business situation and ask you to recommend a suitable method of motivation and justify your choice using the theory and context provided.

Scenario A: "FastPack is a factory where workers pack boxes repetitively all day. Output has been falling."

→ Piece-rate pay

Taylor: workers motivated by money. Piece-rate directly links pay to output — incentivises faster packing. Job enrichment could also help: rotating tasks reduces boredom which reduces the output decline.

Scenario B: "CreativeHub is a design agency. Staff are highly skilled but say their work feels pointless and unrecognised."

→ Job enrichment + recognition

Herzberg: hygiene factors are met (good pay) but motivators are absent. Add challenging projects (achievement) and public recognition schemes (employee of the month). Herzberg's motivators — not more pay — are the solution here.

Scenario C: "TechStart has no budget for pay rises but needs to retain its talented software developers."

→ Non-financial: autonomy, promotion paths, training

Budget constraint rules out financial methods. Maslow levels 4 and 5: offer career progression (esteem) and challenging, meaningful work (self-actualisation). These motivators don't cost money but meet higher-order needs.

Exam formula: Name the method → link to a motivational theory (Maslow/Taylor/Herzberg) → show how it fits the specific situation described in the question.

Key Revision Checklist – 2.4 Motivating Employees

Why motivate?	Higher productivity, lower absenteeism, lower labour turnover, greater willingness to accept change and new working methods
Taylor	Workers motivated by money. Piece-rate pay. Time and motion studies find the one best way. Workers are economic machines.
Maslow	Hierarchy: physiological → safety → social → esteem → self-actualisation. Lower needs met first before higher ones motivate.
Herzberg	Hygiene factors prevent dissatisfaction (pay, conditions). Motivators create motivation (achievement, recognition, responsibility).
Financial methods	Time-based, piece-rate, salary, bonus, commission, profit sharing, fringe benefits — match method to the job type
Piece-rate	Pay per unit produced. Motivates output quantity. Risk: quality falls, workers rush. Best for: factory, packing, sales.
Non-financial	Job enrichment, job rotation, training, promotion, praise, employee of the month, autonomy — no direct cost to business
Job enrichment	Give workers MORE challenging and varied tasks — links to Herzberg's motivators: achievement, responsibility, the work itself
Recommend	Match method to situation. Piece-rate for factories, recognition/enrichment for professionals, non-financial if budget is tight